

and your image of what you would like to drive do not match. A struggle then ensues and whichever has the greater pull will win. If your desire to stay within your budget is stronger, then you will settle for a less expensive car. If your need to have a certain auto for status reasons is more important than affordability, then you may end up with a car that is too expensive for your budget. The next couple found the image pull to be the stronger one.

Bill and Heather Jones both drove expensive cars. Heather was a real estate agent and had to drive clients around in her car to show them properties. If she didn't drive a nice car (she drove a BMW), they wouldn't think that she was successful. Since she was only twenty-five years old, she felt she needed to try even harder to prove herself than someone who was older and was therefore assumed to have more experience. It was important that her clients have faith in her abilities. Without a luxury car, it would be obvious to them that she was not a success, even though her track record proved otherwise.

Bill also justified his need for a luxury car (he drove a Lexus). He worked for a large corporation and was climbing his way up the corporate ladder. Bill was the same age as Heather and this was his first job after receiving an MBA. He definitely wanted to look the part. By driving an old car, he wouldn't be considered top management material.

They weren't sure whether they wanted to get a loan or lease their cars. This decision can be a confusing one. An important reason for the popularity of leases is the price of purchasing a car. With a new vehicle price of over \$30,000 for many vehicles, for instance, buyers have found it increasingly difficult to afford the down payment. Furthermore, the monthly payments for leasing are often lower than those for buying.

However, the out-of-pocket expenses are not necessarily the primary consideration in the lease or buy decision. The important issue is whether the buyer is prepared to live by the

